Read a business, not just a chart

Connect the income statement, balance sheet and cash flow with a practical research worksheet.

STUDY NOTES | INTERMEDIATE

01 / Map how the business makes money

Begin with the annual report's business description and segment disclosures. Identify customers, products, pricing, recurring versus one-off revenue and the main costs. A ratio means little until you understand the business underneath it.

Ask what drives demand and whether the company has bargaining power with customers and suppliers. Compare it with similar businesses using consistent periods and accounting definitions. These notes are a research framework, not a valuation or recommendation.

MAKE IT PRACTICAL
In one paragraph, explain who pays the company, why they pay, its two largest costs and one event that could damage demand.

02 / Follow earnings through the income statement

Revenue is not cash collected, and accounting profit is not automatically distributable cash. Review revenue growth, operating margin, financing costs and tax expense together. Separate recurring operations from exceptional items.

Compare several years rather than one strong quarter. Check segment performance and whether acquisitions changed the comparison. A margin improvement driven by an unusual gain should not be projected indefinitely.

- Operating margin = operating profit / revenue.
- Use the company's defined profit measure consistently.
- Read notes explaining exceptional items and revenue recognition.

03 / Understand the balance sheet

The balance sheet records assets, liabilities and equity at a point in time. Examine debt maturities, receivables, inventory and liquidity. A profitable company can still face stress if cash is tied up while debt falls due.

Check contingent liabilities, related-party transactions and pledged shares where disclosed. Ratios such as debt-to-equity vary in usefulness across sectors. Financial companies require a different

framework from manufacturers.

MAKE IT PRACTICAL
List near-term obligations, available cash, receivables growth and inventory growth. Explain why each change may or may not be a concern.

04 / Reconcile profit with cash

The cash flow statement separates operating, investing and financing activity. Compare operating cash flow with profit over multiple periods. Investigate whether receivables or inventory absorb cash as reported earnings rise.

Capital expenditure may maintain the existing business or expand it; the distinction is not always disclosed cleanly. Free cash flow is often calculated as operating cash flow minus capital expenditure, but definitions differ. State your definition when comparing companies.

- Profit trend versus operating cash trend.
- Maintenance and expansion spending, where identifiable.
- Debt raised, debt repaid and dividends paid.

05 / Turn observations into a research note

Write the evidence for your thesis and the evidence against it. Include source document, reporting period and page number for important figures. Do not fill gaps in disclosure with guesses.

Conclude with unanswered questions rather than a forced buy or sell opinion. Price, business quality and suitability are separate questions. A useful research note makes its assumptions visible.

MAKE IT PRACTICAL
Research sheet: business model | three-year trend | cash conversion | debt and liquidity | governance questions | key uncertainties | source links.

Sources and further reading

Original educational guide. Examples are hypothetical; this is not personalised investment advice or a promise of returns. Free download for personal study.

SEBI Investor: https://investor.sebi.gov.in/
SEBI due diligence: https://investor.sebi.gov.in/due_diligence.html
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